

Notes: Myers and Majluf (JFE, 1984)

Corporate Financing and Investment Decisions When Firms Have Information That Investors Do Not

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1 Big picture

Question. If managers know more than investors about firm value, how does the need to raise external finance affect real investment decisions?

Setting. A firm has assets already in place and a valuable investment opportunity. To take the project, it may need to issue securities. Managers observe the firm's true asset value and project quality before outside investors do.

Core friction. Selling claims to outside investors is not value-neutral when investors know they are less informed than managers. The financing decision itself becomes a signal.

Main theoretical contribution. The paper builds an equilibrium model in which the price investors are willing to pay for a new issue depends on what the decision to issue reveals. Because outside investors rationally infer that firms issue equity more often when news is relatively less favorable, new equity can be underpriced from the viewpoint of existing shareholders.

Main baseline result. A firm may refuse to issue stock and therefore forgo a positive-NPV investment opportunity. The project is passed up when the gain from investing is smaller than the wealth transfer from old shareholders to new shareholders caused by selling underpriced equity.

Main pricing result. In equilibrium, an announcement of an equity issue lowers stock price unless the issue was already certain. A no-issue decision is good news because it suggests the firm is strong enough to prefer not to sell stock.

Main financing result. Internal funds are best, risk-free debt is next best, and equity is worst in the baseline model. Risky debt still dominates equity when the information asymmetry is mainly about firm value rather than risk.

Main organizational caveat. These conclusions rely on managers acting for *existing* shareholders who are effectively passive. If old shareholders actively rebalance their portfolios after investment, financing becomes much less important.

Main corporate-finance implication. Financial slack has value because it allows firms to avoid issuing informationally sensitive securities when good projects arrive. This gives an adverse-selection rationale for the pecking-order view: retained earnings first, debt second, equity last.

Economic takeaway. Financing and investment are not separable under asymmetric information. A firm's capital structure matters because it affects whether the firm can take good real opportunities without transferring value to better-informed insiders or less-informed new investors.

2 Model environment and key objects

2.1 Timeline and information structure

The model has three dates: $t = -1$, $t = 0$, and $t = +1$.

At $t = -1$, managers and investors share the same information.

At $t = 0$, managers learn more. They observe the updated value of the firm's assets already in place and the updated net present value of the investment opportunity. Outside investors do not.

At $t = +1$, investors also learn the true values.

Interpretation. The key friction lasts only one period, but that is enough. Financing choices at $t = 0$ must be made while managers know more than the market.

2.2 Assets in place and investment opportunities

Let

$$\bar{a} = \mathbb{E}(A), \quad \bar{b} = \mathbb{E}(B)$$

denote the values expected at $t = -1$.

At $t = 0$, managers observe the realizations

$$a \in A, \quad b \in B.$$

Here:

- a is the true value of assets in place;
- b is the true NPV of the investment opportunity.

The paper rules out negative a and treats b as truncated at zero because the firm can discard a project if it turns out to have negative NPV.

Interpretation. The project is never undertaken when it destroys value. The interesting case is when $b > 0$ but financing the project still hurts old shareholders because the securities needed to fund it are sold too cheaply.

2.3 Investment requirement, slack, and external finance

The investment requires outlay I . The firm has financial slack S , interpreted as cash plus marketable securities and, conceptually, any default-risk-free borrowing capacity.

If $S < I$, the firm must raise outside funds:

$$E = I - S.$$

The benchmark security in the first part of the paper is common equity.

Interpretation. Slack determines how much of the project can be financed internally. The larger is S , the smaller is the informationally sensitive claim that has to be sold.

2.4 Management objective and the role of old shareholders

Managers are assumed to act in the interest of *old* shareholders, the investors who own the firm before the financing decision is made.

The paper's main analysis assumes old shareholders are passive:

- if stock is issued, the new issue is bought by a different group of investors;
- existing shareholders do not rebalance to offset the firm's financing or investment choice.

Interpretation. This assumption is what makes financing matter. Once new investors absorb the issue, the issue price determines how much value is transferred away from old shareholders.

2.5 Prices observed by the market

Let

$$P'$$

denote the market value of old shareholders' stake if stock is issued and the firm invests.

Let

$$P$$

denote the market value if the firm does not issue and therefore does not invest.

These are market values at $t = 0$, formed rationally using public information plus the signal contained in the firm's decision.

Interpretation. Investors do not see a and b , but they do see whether the firm issues. Therefore, financing is informative even when managers say nothing.

2.6 A simple two-state example

The paper's intuition is clearest in its numerical example. Suppose:

- State 1: $a = 150$, $b = 20$;
- State 2: $a = 50$, $b = 10$;
- the states are equally likely;
- $S = 0$ and $I = 100$, so the firm must issue $E = 100$ if it invests.

If investors thought the firm would always issue and invest, they would price the old shares at $P' = 115$. But at that price old shareholders in state 1 would rather *not* issue because the issue would sell too much of a valuable firm too cheaply. Rational investors anticipate this. In equilibrium, issuance occurs only in state 2, so the issue reveals the weak state and the equilibrium issue price falls to $P' = 60$.

Interpretation. The project in state 1 has positive NPV, but the gain from the project is smaller than the dilution loss from selling underpriced equity. Hence a good project is rejected.

2.7 What the example already shows

The example delivers three key ideas that drive the whole paper:

- stock issues are adverse-selection events;
- financial slack can prevent underinvestment;
- the financing source changes real investment, not just the allocation of claims.

3 Model and theoretical results (all equations + interpretation)

3.1 Old shareholders' value with and without an issue

If the firm does *not* issue and therefore does not invest, old shareholders keep the assets already in place plus slack:

$$V_{\text{no issue}}^{\text{old}} = S + a. \tag{1}$$

If the firm *does* issue equity E and invests, the total post-issue firm value is

$$E + S + a + b.$$

Old shareholders retain only the fraction

$$\frac{P'}{P' + E}$$

of the post-issue firm, so their intrinsic value becomes

$$V_{\text{issue}}^{\text{old}} = \frac{P'}{P' + E}(E + S + a + b). \quad (2)$$

Interpretation. A new issue does not merely fund the project. It also dilutes old shareholders because some fraction of existing assets and project gains is transferred to the new investors.

3.2 The issue-invest condition

The firm issues and invests only if old shareholders are at least as well off as under no issue:

$$S + a \leq \frac{P'}{P' + E}(E + S + a + b).$$

Rearranging gives the paper's key inequality:

$$\frac{E}{P'}(S + a) \leq E + b. \quad (3)$$

Interpretation. The left-hand side is the dilution cost: the share of pre-existing value that goes to new investors. The right-hand side is the gross value created by bringing in external funds and adding the new project. The firm invests only when the project's payoff dominates the adverse-selection cost of financing it.

3.3 Issue and no-issue regions

Define:

$$M' = \left\{ (a, b) : \frac{E}{P'}(S + a) \leq E + b \right\}, \quad M = \left\{ (a, b) : \frac{E}{P'}(S + a) > E + b \right\}.$$

Then:

- if $(a, b) \in M'$, the firm issues and invests;
- if $(a, b) \in M$, the firm does nothing.

Interpretation. The issue region lies where the firm looks weak enough on assets in place (a low) and the project looks attractive enough (b high). The no-issue region lies where the assets already in place are valuable enough that selling equity becomes too costly.

3.4 Equilibrium issue price

The issue price must be rational from the investors' viewpoint. Conditional on issue, investors know only that $(a, b) \in M'$. Therefore,

$$P' = S + \bar{A}(M') + \bar{B}(M'), \quad (4)$$

where

$$\bar{A}(M') = \mathbb{E}[A \mid (a, b) \in M'], \quad \bar{B}(M') = \mathbb{E}[B \mid (a, b) \in M'].$$

Conditional on no issue, the old shares are worth

$$P = S + \bar{A}(M), \tag{5}$$

because the project is not taken when the firm declines to issue.

Interpretation. The issue price and the issue rule are jointly determined. P' depends on which types issue, and which types issue depends on P' .

3.5 Real inefficiency and the ex ante loss from underinvestment

Whenever the realization lands in region M , a positive-NPV project is not taken. The paper summarizes the ex ante value loss as

$$L = F(M) \bar{B}(M), \tag{6}$$

where $F(M)$ is the probability of landing in the no-issue region.

Interpretation. The distortion is a real investment distortion, not just a redistribution among claims. The firm destroys value by abandoning good projects that would have been taken under symmetric information or with enough slack.

3.6 Comparative statics of the loss

The model implies:

- $L = 0$ if $S \geq I$, because no equity issue is needed;
- L rises as the required issue $E = I - S$ becomes larger;
- L rises with the scale of required external financing and falls with financial slack;
- the problem is stronger when there is more uncertainty about assets already in place.

Interpretation. The more pre-existing firm value is exposed to dilution, the stronger is management's reluctance to issue.

3.7 Special cases

Case 1: investors know the value of assets in place. If a is publicly known, the adverse-selection problem disappears for the old assets, and the firm always issues when $b \geq 0$. Then there is no underinvestment loss:

$$L = 0.$$

Interpretation. Asymmetric information about *assets in place* is essential. If the market already knows what the existing firm is worth, selling claims to finance a good project is not problematic.

Case 2: no positive-NPV opportunities. If $b = 0$ in every state, issuance essentially collapses except possibly at a lower bound of a . This is the Akerlof-style market-breakdown case.

Interpretation. Without a positive investment opportunity to justify financing, the market for claims on the firm can shut down almost completely.

3.8 Why equity issue announcements lower stock price

Unless an issue is certain in every state, the model implies

$$P' < P.$$

Why? A no-issue decision means the firm preferred to keep its shares off the market. That tells investors that the value of assets already in place is relatively high. Conversely, choosing to issue is bad news, or at least less good news.

Interpretation. The price drop is not evidence of irrational markets. It is the rational response of investors who understand that firms issue more readily when existing shareholders lose less from selling equity.

3.9 Numerical results from the paper

The paper solves the model numerically under lognormal distributions for A and B . The main findings are:

- more slack sharply reduces the expected ex ante loss $L/\bar{B}$;
- larger expected project NPV reduces the loss;
- lower uncertainty about assets in place reduces the loss;
- when slack fully covers the investment requirement, the loss goes to zero.

Interpretation. The pecking-order logic is not just qualitative. In the simulations, insufficient slack can wipe out a very large fraction of average project value.

3.10 Debt versus equity

Now let the firm choose debt instead of equity. If the firm issues equity, write the change in value to new shareholders between $t = 0$ and $t = +1$ as

$$\Delta E = E_1 - E.$$

Then old shareholders issue and invest only if

$$b \geq \Delta E. \tag{7}$$

If the firm instead issues debt D , write

$$\Delta D = D_1 - D.$$

Then issuance and investment require

$$b \geq \Delta D. \tag{8}$$

If the debt is default-risk-free, then

$$\Delta D = 0,$$

so the firm invests whenever $b \geq 0$.

Under the paper’s option-pricing intuition, debt and equity capital gains have the same sign, but risky debt is less informationally sensitive:

$$|\Delta D| < |\Delta E|.$$

Interpretation. Safe securities are less exposed to private information than risky securities. Therefore they generate smaller dilution losses and smaller financing distortions.

3.11 The pecking order in the model

The baseline ranking is:

1. internal funds or slack;
2. risk-free debt;
3. risky debt;
4. equity.

Moreover, if the firm can choose between debt and equity at $t = 0$, the baseline model predicts it will never issue equity when debt is available.

Interpretation. This is the classic adverse-selection foundation for the pecking-order hypothesis. Equity is a last resort because it is most sensitive to inside information about firm value.

3.12 Why equity can still appear in richer models

The paper notes that the “never issue equity” conclusion depends on the assumption that asymmetric information is mainly about firm *value*. If instead the main asymmetry concerns *risk*, equity can become more attractive than debt, because debt is then more vulnerable to mispricing.

Interpretation. The paper’s debt-over-equity result is strong, but not universal. It depends on what management knows that investors do not.

3.13 The active-shareholder alternative

The paper then studies a different assumption: old shareholders are active and rationally rebalance their portfolios after the firm invests.

Under that assumption, financing becomes largely irrelevant. If the firm uses internal cash to invest, old shareholders can sell shares to undo the extra exposure. If the firm issues securities to invest, old shareholders can buy some of the new claims. In frictionless markets the same portfolio outcome can be replicated either way.

Interpretation. If shareholders instantly rebalance, what matters is only the decision to invest, not whether the project is financed internally or externally. The authors view this as less consistent with the observed announcement effects of equity issues.

4 What makes the argument credible (assumptions, evidence, and limits)

4.1 Three views of managerial objectives

The paper contrasts three possibilities:

1. managers maximize the value of all shareholders and ignore the conflict between old and new investors;
2. managers maximize the value of passive old shareholders;
3. managers maximize the value of old shareholders who actively rebalance.

The formal model mainly uses statement 2.

Interpretation. The whole financing result turns on whose wealth managers care about *at the margin* when a new security is sold.

4.2 Why the passive-old-shareholder assumption matters

If managers maximize the value of passive old shareholders, financing matters because issuing equity transfers part of the old assets to new investors.

If managers instead behave as though shareholders can costlessly rebalance, then investment can be separated from financing and the distinctive pecking-order logic disappears.

Interpretation. The paper is not claiming that financing must matter under every theory of managerial behavior. It is claiming that, under a particular and empirically plausible objective, financing matters in a very disciplined way.

4.3 Why the paper links the model to market evidence

The authors point to the fact that stock prices fall on average when equity issues are announced and fall less, or not at all, for debt issues.

Interpretation. Under statement 1, equity issues would not be bad news because they would simply reveal the existence of a good project. Under statement 2, equity issues are bad news because they reveal that managers are willing to sell stock despite the implied dilution. The evidence therefore leans toward statement 2.

4.4 Why financial slack is valuable

Financial slack allows the firm to take projects without issuing informationally sensitive securities. It therefore avoids the financing trap in which good projects are abandoned because the issue price is too low.

Interpretation. The value of slack is not merely liquidity insurance in a mechanical sense. It is protection against adverse-selection financing costs.

4.5 Implications for payout policy

If firms expect valuable future projects and if outside equity is costly under asymmetric information, they should build slack by retaining earnings rather than by repeatedly going to the market for

new equity.

Interpretation. The model gives a reason for conservative payout policies: retained earnings help finance future good projects without forcing the firm into an informationally costly equity issue.

4.6 Implications for mergers

A slack-rich firm and a slack-poor firm can create value by merging because the combined firm can fund good projects that the slack-poor firm might otherwise abandon.

But the same information asymmetry that creates the gain also complicates the transaction. A negotiated merger can fail if the seller cannot credibly communicate its true value to the buyer.

Interpretation. Slack itself becomes a corporate asset. One firm may buy another partly to reallocate financing capacity, not just productive assets.

4.7 Main limits of the model

The main limitations are:

- no taxes, standard transaction costs, or bankruptcy costs in the core model;
- the project is all-or-nothing;
- the information asymmetry lasts only one period in the benchmark setup;
- risky debt is handled with intuition from option pricing rather than a fully general security-design analysis;
- the results are sensitive to assumptions about managerial objectives and shareholder trading behavior.

Interpretation. The paper is deliberately stripped down. Its value is not that it captures every financing friction at once, but that it isolates one mechanism—adverse selection in security issuance—and shows how powerful that mechanism alone can be.

5 Figures and key quantitative/theoretical results

5.1 Figure 1: The issue-invest boundary

$$(E/P')(S+a) \leq E+b. \quad (1)$$

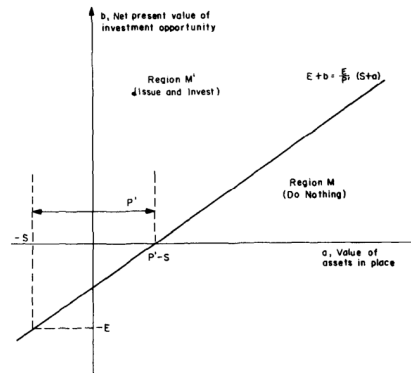


Fig. 1. The issue-invest decision when managers know more than investors about the value of the firm's assets-in-place (a) and the net present value of its investment opportunities (b). The firm issues stock only if (a, b) falls in region M' . E is the amount of new equity required to finance the investment, P' the equilibrium value of the firm conditional on issue, and S is the amount of financial slack (financing available from internal sources).

Figure 1: Original Figure 1 from Myers and Majluf (1984).

Read:

- The upward-sloping line is the issue threshold $\frac{E}{P'}(S+a) = E+b$.
- The firm issues only in region M' : high project value b , low assets in place a .
- The firm does nothing in region M : low project value or high pre-existing firm value.
- More valuable assets in place shift the firm toward no issue because dilution becomes more expensive.

Economic message. The figure is the heart of the model. Good projects are not sufficient for investment; they must be good *enough* to compensate old shareholders for selling claims on existing assets at a discount.

5.2 Figure 2: Two-state equilibrium example

presented above in the format of fig. 1.)

Remember that the joint probability distribution of a and b is restricted to the Northeast quadrant of fig. 1. Region M' is at the top left of this quadrant. The firm is most likely to issue when b , the realization of project NPV, is high and a , the realization of value of the asset-in-place, is low. The higher b is, the more old stockholders gain from issuing and investing. The lower a is, the more attractive the issue price P' .

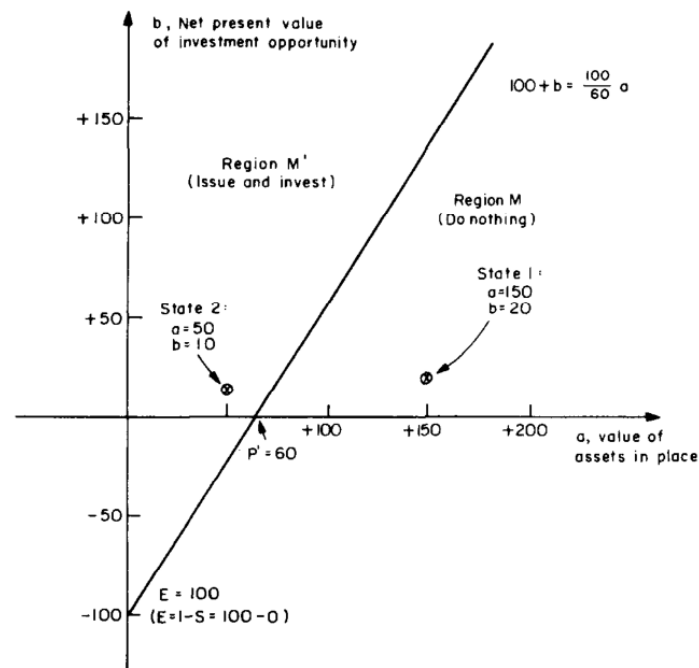


Fig. 2. Solution for example from section 2. In this case, the firm issues and invests in state 2, when assets-in-place are worth 50 and the net present value of the investment opportunity is 10 – i.e., where $(a, b) = (50, 10)$. It does not issue or invest in state 1, where $(a, b) = (150, 20)$. The states are assumed equally probable. Firm value conditional on issue is $P' = 60$.

Figure 2: Original Figure 2 from Myers and Majluf (1984).

Read:

- State 2 lies in the issue region, so the firm issues and invests there.
- State 1 lies in the no-issue region, even though the project still has positive NPV.
- The issue price $P' = 60$ is low because investors infer that only the weak state issues.

Economic message. This is the cleanest demonstration of underinvestment. The model does not say firms reject bad projects; it says they can reject *good* projects when financing them requires selling underpriced equity.

5.3 Table 1: Numerical comparative statics

Table 1

Expected ex ante losses in firm value when the value of assets-in-place ($\bar{A}$) and the net present value of investment opportunities ($\bar{B}$) are lognormally distributed. $\bar{A}$ and $\bar{B}$ are assumed independently distributed, with expectations $\bar{A} = 100$ and $\bar{B} = 1$ or 10, and standard deviations $\sigma_A = 10$ or 100 and $\sigma_B = 10$. The probability distributions reflect information available to investors before the firm reveals whether it will issue and invest. The investment required is $I = 10$ or 100. Financial slack, S , is varied between 0 and 100 percent of I . The losses are expressed as a percent of $\bar{B}$. The probability that the firm will issue is given in parentheses.^a

S	$\bar{B}/I$	$I = 10$		$I = 100$	
		$\sigma_A = 10$	$\sigma_A = 100$	$\sigma_A = 10$	$\sigma_A = 100$
0	0.01	99.8 (0.1)	100 – (0 +)	98.5 (1.2)	99.9 (0.1)
	0.10	17.8 (68.4)	97.8 (1.6)	2.8 (94.1)	68.8 (28.0)
50	0.01	94.1 (3.2)	100 – (0 +)	68.7 (21.7)	97.1 (2.1)
	0.10	5.1 (87.0)	84.4 (11.2)	0.4 (98.6)	39.4 (51.7)
90	0.01	19.9 (65.2)	97.0 (1.9)	5.7 (85.8)	65.0 (25.9)
	0.10	0.1 (99.5)	18.7 (70.5)	0 + (100 –)	5.1 (89.6)
100	0.01	0 (0)	0 (0)	0 (0)	0 (0)
	0.10	0 (0)	0 (0)	0 (0)	0 (0)

^aSource: Majluf (1978, tables 4 and 6).

of $\bar{A}$ and $\bar{B}$, and also for joint normal distributions truncated to exclude negative $\bar{A}$'s and $\bar{B}$'s.

Table 1 illustrates the results obtained in extensive numerical experiments.¹⁵ It shows L , loss in market value at $t = -1$, as a percent of $\bar{B}$, the average NPV of the investment opportunity. It also shows $F(M')$, the probability the firm will issue stock and invest. $\bar{A}$ and $\bar{B}$ are assumed joint lognormally distributed

Read:

- Expected value loss $L/\bar{B}$ is extremely high when slack is low and outside equity must do most of the financing.
- As slack rises, the probability of issue rises and the expected loss falls.
- When slack fully covers the required investment, the expected loss falls to zero.
- Greater uncertainty about assets in place tends to worsen the problem.

Economic message. The simulations show that the financing distortion can be quantitatively large. Slack is not just a minor convenience; it can preserve most of a project's value.

5.4 Table 2: Financing irrelevance under active shareholders

Table 2
Equilibrium conditions for the issue-invest decision with and without financial slack.

	(I) Firm has no slack ($S = 0$), and must issue the amount I in order to invest. Shareholders have cash $C = I$ and invest αI in new issue. Managers know a , the value of assets-in-place, and b , the net present value of the investment opportunity, but investors do not.	(II) Firm has $S = I$. However, if it invests, shareholders sell a portion of their holdings to recover $(1 - \alpha)I$ in cash. Managers and investors have the same information as in case I.
Value to old shareholders (V^{old})		
No issue:	$C + a = I + a$	$S + a = I + a$
Issue:	$(1 - \alpha)I + \frac{P' + \alpha I}{P' + I}(I + a + b)$	$(1 - \alpha)I + \frac{P'' - (1 - \alpha)I}{P''}(I + a + b)$ or $(1 - \alpha)I + \frac{P''_{\text{net}} + \alpha I}{P''_{\text{net}} + I}(I + a + b)$
Issue if:	$I + a < (1 - \alpha)I + \frac{P' + \alpha I}{P' + I}(I + a + b)$	$I + a < (1 - \alpha)I + \frac{P''_{\text{net}} + \alpha I}{P''_{\text{net}} + I}(I + a + b)$
At equilibrium: ^a	$P' = \bar{A}(M') + \bar{B}(M')$	$P''_{\text{net}} = \bar{A}(M'') + \bar{B}(M'')$

^aThe equilibrium values of the firm (P' in case I and P''_{net} in case II) are identical. Thus, the investment decision can be independent of whether financing comes from internal funds or a stock issue. Here we assume that investors rebalance their portfolios when the firm reveals its investment decision.

are frictionless, and all traders understand what is going on, the final result is the same.
We thus obtain an (MM) proposition of financial irrelevance, where all the

Read:

- Case I studies external financing when shareholders can buy part of the new issue.
- Case II studies internal financing when shareholders can sell part of their holdings after investment.
- The equilibrium values are identical across the two cases under active rebalancing.

Economic message. This table shows exactly where the pecking-order result comes from. If shareholders actively rebalance, financing is neutral. If they are passive, financing matters and slack becomes valuable.

6 Short summary

- Managers know more than investors about assets in place and project value.
- Issuing equity can transfer wealth from old shareholders to new investors.
- Therefore a firm may reject a positive-NPV project rather than issue underpriced stock.
- Financial slack prevents this underinvestment problem.
- Safe debt is less sensitive to asymmetric information than equity, so it is preferred.
- Equity issue announcements lower stock price because issuing is bad news in equilibrium.
- The argument is strongest when managers act for passive old shareholders.

7 Conclusion

7.1 Core conclusion

The paper shows that asymmetric information can make external finance costly in a way that distorts real investment. A firm may rationally pass up valuable projects because financing them with equity would sell too much of the firm's existing value too cheaply.

7.2 Economic intuition

The core mechanism is simple. Financing a project by selling equity is not just a way to bring in cash. It is also a transaction in which less-informed investors try to protect themselves against being selected against. They lower the price they will pay. Managers, acting for existing shareholders, sometimes refuse to sell at that price.

7.3 Takeaway

Myers and Majluf provide the classic adverse-selection reason why firms prefer internal funds, value financial slack, and turn to debt before equity. The paper's enduring contribution is to show that capital structure matters not only because of taxes or agency problems, but also because financing choices are themselves signals in markets with unequal information.